Price Discrimination Questions

1. Apple's app store is an example of–
a) Peak load Pricing
b) Tying
c) Third Degree Price Discrimination
d) Bundling
e) None of the above

2. A product going on sale would be an example of what type of price discrimination?

a) First Degree
b) Second Degree
c) Third Degree
d) Intertemporal
e) Bundling

3. A firm has a monopoly. The demand curve is Q=500-200P. The firm's marginal cost is constant at 1. If the firm were to implement a two part tariff, what should it charge as the entrance fee?

a) 200
b) 250
c) 300
d) 500
e) None of the above

4. If I segment my market geographically, and city A has an elasticity of demand or -4 and city B has an elasticity of demand of -1.4, which market will have higher prices?

a) City A
b) City B
c) Same price
d) Don't put this
e) Also don't put this

5. Under which pricing scheme is a monopolist likely to earn the highest profits?

a) Offering every consumer the same price
b) Choosing Price where Marginal revenue equals marginal cost
c) Setting price equal to marginal cost
d) Offering every consumer their willingness to pay, as long as the willingness to pay is above marginal cost
e) Third degree price discrimination

6. Happy meals from McDonalds vary in price by location, with high income areas having higher prices. This is an example of what?

a) First Degree Price Discrimination
b) Second Degree Price Discrimination
c) Third Degree Price Discrimination
d) Intertemporal Price Discrimination
e) Tying

7. Bulk discounts are what type of price discrimination? (Pick the BEST answer)

a) First
b) Second
c) Third
d) Fourth
e) Bundling

8. A monopolist faces a demand curve, Q=10-P and has a constant marginal cost of 2. If the monopolist would like to impose a two-part tariff, what will the entry fee be?

a. 32
b. 16
c. 8
d. 4
e. None of the above

9. A golf club company sells direct to consumers and also to country clubs. County clubs have an elasticity of demand of -4, while direct buyers have an elasticity of demand of -2. Which market will have higher prices?

a) Country Clubs
b) Direct buyers
c) Same price

10. The demand curve for coffee is P=150-10Q, a monopolist is operating in the market with C=10q. What is the deadweight loss due to monopoly if the monopolist can perfectly price discriminate (first-degree price discrimination)?

a) 245
b) 80
c) 35
d) 7
e) None of the above

11. Buy 1, get a second one half off, would be what type of price discrimination

a) First degree
b) Second degree
c) Third degree
d) Bundling
e) Tying

12. A monopolist faces a demand curve, Q=100-P and has a constant marginal cost of 20. If the monopolist would like to impose a two-part tariff, what will the entry fee be?

a) 3200
b) 6400
c) 20
d) 80
e) None of the above

13. A firm is practicing third degree price discrimination between children and adults. Children's demand for the product has an elasticity of -0.1, while adults have an elasticity of -0.5. Which group will have the higher price?

a) Children
b) Adults
c) Same Price
d) None of the above

14. A monopolist owns a golf club and has market power over access to the course. Consumers have identical demand for rounds of golf given by

$Q=20-P$

where Q is the number of rounds per month and P is the price per round. The marginal cost of each round is constant at

$MC=4$

The firm can charge a two-part tariff: a per-round price ppp plus a membership fee. If the golf club wants to maximize profit using a two-part tariff, what should the membership fee be?

a) $4
b) $16
c) $64
d) $128
e) None of the above

15. I put on a magic show in my backyard, kids get in free, but adults have to bring me beer. This is an example of

a) First degree price discrimination
b) Second degree price discrimination
c) Third degree price discrimination
d) A two part tariff
e) Peak Load Pricing
f) Nothing, no one would attend this, not even your son

16. A monthly subscription fee with cheaper than retail priced printer ink would be what type of pricing strategy

a) Bundling
b) First Degree Price Discrimination
c) Tying
d) Two Part Tariff
e) Intertemporal

17. A firm is able to segment its market geographically. It offers cupcakes for sale at $5 in the city of San Clemente, and $8 in Beverly Hills. What type of price discrimination is this and which city's demand for cup cakes is more elastic?

a) First degree, San Clemente
b) Second degree, Beverly Hills
c) Third degree, San Clemente
d) Intertemporal, Beverly Hills
e) None of the above

18. Which of the following types of price discrimination would have the lowest deadweight loss?

a) First Degree
b) Second Degree
c) Third Degree
d) Bundling
e) None of the above

19. Compared to monopoly, firms with monopoly market power that can first degree price discriminate will

a) produce a larger quantity and earn more profit, increasing total surplus in the market.
b) produce a larger quantity and earn less profit, decreasing total surplus in the market.
c) produce a smaller quantity and earn more profit, decreasing total surplus in the market.
d) produce a smaller quantity and earn more profit, increasing total surplus in the market.
e) produce a smaller quantity and earn less profit, decreasing total surplus in the market.

20. Offering a discount for buying in bulk is which type of price discrimination?

a) First Degree
b) Second Degree
c) Third Degree
d) Bundling
e) None of the above

21. Amazon Prime, is a subscription service that grants users a price of zero for shipping. This type of pricing model is called–

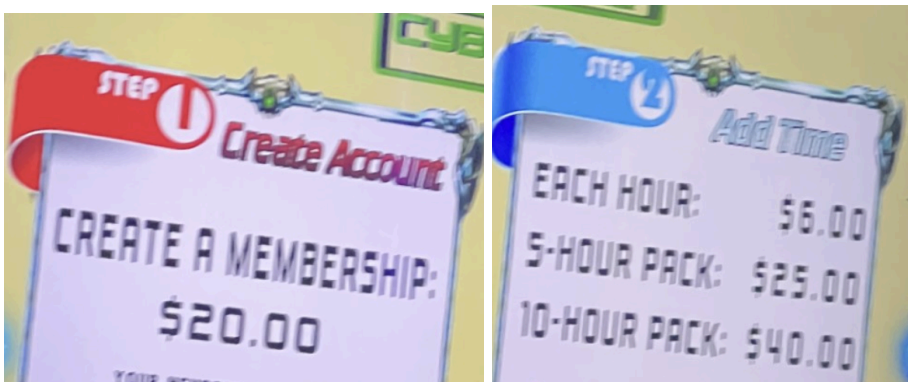
a) First Degree Price Discrimination
b) Second Degree Price Discrimination
c) Peak Load Price Discrimination
d) Intertemporal Price Discrimination
e) Two Part Tariff

22. A monopolist faces a demand curve, Q=100-P and has a constant marginal cost of 50. If the monopolist would like to impose a two-part tariff, what will the per unit price be?

a. 50
b. 1250
c. 2500
d. 5000
e. None of the above

23. A monopolist faces a demand curve, Q=200-P and has a constant marginal cost of 20. It has no fixed costs. If the monopolist can perfectly price discriminate what will the monopolist's profit be?

a) 8,100
b) 9,900
c) 16,200
d) 0
e) None of the above



24. Nima walks into an arcade. The arcade has the following price scheme (shown above). First he has to pay $20 for a membership. Then, one hour is $6, 5 hours cost $25, and 10 hours costs $40. What type of price discrimination is this?

a) Two part tariff then second degree price discrimination
b) Two part tariff then third degree price discrimination
c) First degree price discrimination then two part tariff
d) Bundling then tying
e) Two part tariff then first degree price discrimination

25. A monopolist faces a demand curve, Q=100-P and has a constant marginal cost of 50. If the monopolist would like to impose a two-part tariff, what will the entry fee be?

a. 50
b. 1250
c. 2500
d. 5000
e. None of the above

26. The demand curve for coffee is P=150-10Q, and a monopolist is operating in the market with C=10q. What is the deadweight loss due to monopoly if the monopolist can perfectly price discriminate (first-degree price discrimination)?

a) 245
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